A measured first step toward lower material cost

To: Cost Control contact | For forwarding to management

Client B - Structural steel | Confidential | 14 October 2026

Thank you for explaining your operations. The immediate opportunity is to establish where material is lost, which losses are avoidable, and whether better use of your existing tools can recover value. We do not yet have reliable evidence that nesting is the main cause, or that a new AI system would outperform your team.

Your team already uses Strumis, which reportedly includes automatic nesting, and already records and checks offcuts. Project-specific purchasing and cost allocation limit how freely material can be shared. Drawing revisions and material that is difficult to retrieve may also explain loss. We recommend testing these issues before committing to a large software programme.

Our proposal: one six-week engagement with a clear stop after week 2. In the first week, subject to timely access, you receive a preliminary material-loss and data-readiness report. By week 2, we compare at least 30 matched jobs using existing manual plans and Strumis automatic nesting. If better settings or working practices are sufficient, we recommend those and stop custom development.

Only if there is a credible additional opportunity will weeks 3-4 introduce a small assistant to improve offcut visibility, classify loss and explain possible cutting choices within approved project boundaries. Week 5 reviews at least 10 current jobs without changing production. Week 6 provides the economic assessment and, only with your production team's approval, up to five supervised trials. Your nesting lead and production managers retain approval of every plan.

What success means: less unrecoverable scrap and virgin material consumption, after allowing for salvage value, handling effort and schedule effects. Proposed targets include at least a 0.5 percentage-point scrap reduction against accepted manual plans, 80% operator acceptance, no quality or traceability breaches and no pilot-caused missed commitments. A custom assistant must add value beyond the best existing method. Reusable offcuts are inventory, not cash savings; purchase displacement and later reuse must be verified.

Indicative commercial terms: USD 45,000 maximum. The first two weeks cost USD 15,000: USD 7,500 at kickoff and USD 7,500 on acceptance of the benchmark report. The remaining USD 30,000 requires a written go decision: USD 15,000 at that gate, USD 10,000 on acceptance of the shadow report and USD 5,000 at final handover. If we stop at week 2, the remaining USD 30,000 is not due. Optional support is USD 500/month. Currency, taxes, licences, travel and local prices must be confirmed before signing.

For illustration only, 40,000 eligible tonnes/year, a 0.8 percentage-point improvement and USD 500 net value/tonne imply USD 160,000 annual gross value. After USD 51,000 in first-year fees/support and USD 10,000 assumed internal effort/handling, that is USD 99,000 over a full operating year; a six-week start delay lowers the kickoff-year illustration to about USD 80,538. Lower throughput or improvement can make the investment unattractive. The reported 80,000 tonnes is capacity, not verified material input, so these figures are not a forecast or guarantee.

What we need: a Cost Control coordinator; participation from nesting, engineering, yard, production, planning, finance and IT; approved read-only exports; access to native automatic nesting; and documented material and project permissions. The first finding assumes usable files within three working days. Missing records may change the outcome to a measurement-improvement plan.

Decision requested: approve the USD 15,000 first phase, nominate the owners above and allow controlled data access. Reserve the further USD 30,000 only for a justified second gate. This lets management buy evidence early and stop before a larger commitment if the case does not hold.